

SENATE BILL 818

By Hensley

AN ACT to amend Tennessee Code Annotated, Title 55
and Title 65, Chapter 15, Part 3, relative to
transportation network companies.

WHEREAS, Tennessee is the only state in the southeast that allows out-of-state ride hail drivers to operate within the state, while Tennessee ride hail drivers may not work in surrounding states; and

WHEREAS, Tennesseans who live and work in our communities, contributing directly to our local economy, struggle to compete with an oversaturated market of out-of-state drivers; and

WHEREAS, instead of bringing down prices for consumers, an oversaturated market of out-of-state drivers has worsened traffic congestion and diverted Tennessee tourism dollars to other states; and

WHEREAS, a basic licensing regime is necessary to regulate this profession; now, therefore,

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 65, Chapter 15, Part 3, is amended by adding the following as a new section:

(a) An individual seeking to work as a transportation network driver in this state shall first obtain a transportation network license from the department of commerce and insurance.

(b)

(1) Except as provided in subdivision (b)(2), in order to be issued a transportation network license from the department, the individual must have a valid Tennessee driver license.

(2) Notwithstanding subdivision (b)(1), a resident of Desoto County, Mississippi, or Crittenden County, Arkansas, may be issued a transportation network license from the department upon providing proof of residency of such county.

(c) A driver's transportation network license is valid for a period of one (1) year. The department shall establish a means by which a driver may renew a license through the department's website. The department shall also promulgate rules, in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, by which the department may suspend or revoke a driver's transportation network license upon the driver committing a serious traffic violation or criminal offense or upon good cause shown.

(d) An individual without a valid transportation network license is prohibited from accepting or transporting a prearranged ride originating in this state. This subsection (d) does not prohibit a prearranged ride originating in another state from ending in this state.

(e) A transportation network company shall not authorize a driver without a valid transportation network license to accept or transport a prearranged ride originating in this state.

(f) A transportation network company that violates subsection (e) is subject to a civil penalty of one thousand dollars (\$1,000) per violation. If a transportation is found by the commissioner of commerce and insurance to have multiple violations of subsection (e) in a manner that is deemed to constitute willful or wanton disregard of the

requirements of this section, then the commissioner shall take action to suspend or revoke the transportation network company's ability to operate in this state.

SECTION 2. The department of commerce and insurance is authorized to promulgate rules to effectuate this act. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in Tennessee Code Annotated, Title 4, Chapter 5.

SECTION 3. For purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2026, the public welfare requiring it.